UNIVERSITÀ DEGLI STUDI DI BERGAMO
Dipartimento di Scienze Aziendali

Master Degree in
ACCOUNTING, GOVERNANCE AND SUSTAINABILITY

IFRS 13
Fair Value Measurement

International and Advanced Accounting
179009-ENG

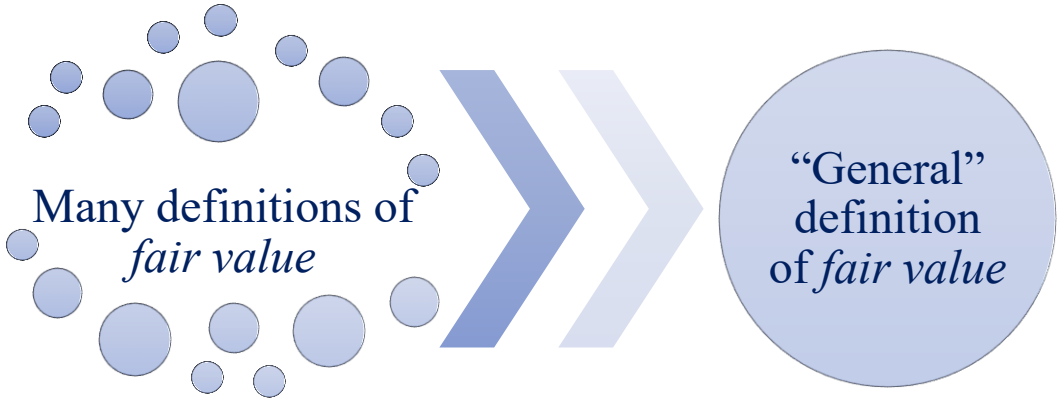
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The birth of the principle

Until the standard came into force, each IAS/IFRS had its own definition of *fair value*.



Before IFRS 13

Post IFRS 13

There was a very composite and uneven situation.
Thus, the IASB decides to create a standard (IFRS 13) that contains a "general" definition of *fair value*.
IFRS 13 officially comes into force on **1 January 2013**.

The birth of the principle

IFRS 13 originates **in the process of convergence with the US G.A.A.P. accounting standards**, in particular with SFAS *157 (now ASC 820 according to the new FASB Codification)* to which it substantially corresponds.

It also aims to coordinate within a single standard, an evaluation criterion (*fair value*), which is progressively permeating various accounting standards already issued such as IAS and IFRS.

The pervasiveness of this evaluation criterion is in fact very broad and has its origins in the evolution of the disclosures purposes of the financial statements, in particular the transition between 'distributable income' and 'income produced'.

IFRS 13 also defines a **hierarchy in the methods for determining *fair value***, as shown in the following *slides*.

IFRS 13 – *Objective*

par. 1-4

This IFRS [IFRS 13.1]

- Defines *fair value*
- Sets out in a single IFRS a **framework for measuring** *fair value*
- Requires **disclosures** about *fair value* measurements

IFRS 13 – *Scope*

par. 5-8

This IFRS applies when another IFRS **requires or permits** *fair value* measurements or disclosures about *fair value* measurements (and measurements, such as *fair value* less costs to sell, based on *fair value* or disclosures about those measurements). [IFRS 13.5]

The measurement and disclosure requirements of this IFRS do not apply to the following: [IFRS 13.6]

Share-based payment transactions within the scope of IFRS 2 (*Share-based Payment*)

Leasing transactions accounted for in accordance with IFRS 16 (*Leases*)

Measurements that have some similarities to *fair value* but are not *fair value*, such as *net realisable value* in IAS 2 (*Inventories*) or value in use in IAS 36 (*Impairment of Assets*).

IFRS 13 – *Scope*

par. 5-8

The disclosures required by this IFRS are not required for the following: [IFRS 13.7]

Plan assets measured at *fair value* in accordance with IAS 19 (*Employee Benefits*)

Retirement benefit plan investments measured at *fair value* in accordance with IAS 26 (*Accounting and Reporting by Retirement Benefit Plans*)

Assets for which recoverable amount is *fair value* less costs of disposal in accordance with IAS 36.

The *fair value* measurement framework described in this IFRS applies to both **initial and subsequent measurement** if *fair value* is required or permitted by other IFRSs. [IFRS 13.8]

IFRS 13 – *Definitions*

Fair value

This IFRS defines *fair value* as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction **between market participants** at the measurement date. [IFRS 13.9]

***Fair value* is a market-based measurement, not an entity-specific measurement.** [IFRS 13.2]

When a price for an identical asset or liability is not observable, an entity measures *fair value* using another valuation technique that maximises the use of relevant observable inputs and minimises the use of unobservable inputs. Because *fair value* is a **market-based measurement**, it is measured using the assumptions that market participants would use when pricing the asset or liability, including assumptions about risk. As a result, *an entity's intention to hold an asset or to settle or otherwise fulfil a liability* ***is not relevant when measuring fair value***. [IFRS 13.3]

IFRS 13 – *Definitions*

Fair value

This IFRS defines *fair value* as the **price** that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. [IFRS 13.9]

The **price in the principal (or most advantageous) market** used to measure the *fair value* of the asset or liability **shall not be adjusted for transaction costs**. Transaction costs shall be accounted for in accordance with other IFRSs. Transaction costs are not a characteristic of an asset or a liability; rather, they are specific to a transaction and will differ depending on how an entity enters into a transaction for the asset or liability. [IFRS 13.25]

Transaction costs do not include *transport costs*.

If location is a characteristic of the asset *(as might be the case, for example, for a commodity)*, the price in the principal (*or most advantageous*) market **shall be adjusted** for the costs, if any, that would be incurred to transport the asset from its current location to that market. [IFRS 13.26]

IFRS 13 – *Definitions*

Fair value

This IFRS defines *fair value* as the price that would be received to sell an **asset** or paid to transfer a **liability** in an orderly transaction between market participants at the measurement date. [IFRS 13.9]

A *fair value* measurement is for a particular **asset or liability**.

Therefore, when measuring *fair value* an entity shall take into account the **characteristics of the asset or liability** if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Such characteristics include, for example, the following:

- ✓ the **condition and location** of the asset; and
- ✓ **restrictions**, if any, **on the sale or use** of the asset. [IFRS 13.11]

IFRS 13 – *Definitions*

Fair value

This IFRS defines *fair value* as the price that would be received to sell an asset or paid to transfer a liability in an orderly **transaction** between market participants at the measurement date. [IFRS 13.9]

A *fair value* measurement assumes that the **transaction** to sell the asset or transfer the liability takes place either:

- ✓ in the ***principal market*** for the asset or liability; or
- ✓ in the absence of a principal market, in ***the most advantageous market*** for the asset or liability. [IFRS 13.16]

An entity need not undertake an exhaustive search of all possible markets to identify the principal market or, **in the absence of a principal market**, the most advantageous market, but it shall take into account **all information that is reasonably available**. In the absence of evidence to the contrary, the market in which the entity would normally enter into a transaction to sell the asset or to transfer the liability **is presumed to be the principal market or, in the absence of a principal market, the most advantageous market**. [IFRS 13.17]

If there is a principal market for the asset or liability, the *fair value* measurement shall represent the price in that market (*whether that price is directly observable or estimated using another valuation technique*), **even if the price in a different market is potentially more advantageous at the measurement date**. [IFRS 13.18]

IFRS 13 – *Definitions*

Fair value

This IFRS defines *fair value* as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between **market participants** at the measurement date. [IFRS 13.9]

An entity shall measure the *fair value* of an asset or a liability **using the assumptions** that **market participants** would use when pricing the asset or liability, assuming that market participants act in their economic best interest. [IFRS 13.22]

In developing those assumptions, an entity need not identify specific market participants. Rather, the entity shall identify characteristics that distinguish market participants generally, considering factors specific to all the following: [IFRS 13.23]

- the asset or liability;
- the principal (or most advantageous) market for the asset or liability; and
- market participants with whom the entity would enter into a transaction in that market.

IFRS 13 – *Definitions*

Highest and best use

The use of a **non-financial asset** by market participants that **would maximise the value of the asset or the group of assets and liabilities** (e.g., a business) within which the asset would be used. [IFRS 13 – Appendix A]

Exit price

The price that would be received to sell an asset or paid to transfer a liability.
[IFRS 13 – Appendix A]

IFRS 13 – *Definitions*

Active market

A market in which transactions for the asset or liability take place with **sufficient frequency and volume** to provide pricing information on an ongoing basis.
[IFRS 13 – Appendix A]

Principal market

The market with the **greatest volume and level** of activity for the asset or liability.
[IFRS 13 – Appendix A]

Most advantageous market

The market that **maximises the amount** that would be received to sell the asset or **minimises the amount** that would be paid to transfer the liability, **after taking into account transaction costs and transport costs**.
[IFRS 13 – Appendix A]

IFRS 13 – *Example of principal/most advantageous market*

	Market 2	Market 3
Volume	12.000	10.000
Price	98,00	105,00
Transport costs	(5,00)	(6,00)
Fair Value	93,00	99,00
Transaction costs	(2,00)	(3,00)
Net	91,00	96,00

Principal market

Most advantageous market

IFRS 13 – *Application to non-financial assets* *par. 27-33*

Fair value non-financial asset → Determined according to its *highest and best use*

A *fair value* measurement of a **non-financial asset** takes into account a market participant's ability to *generate economic benefits by using the asset in its highest and best use* or by selling it to another market participant that would use the asset in its highest and best use. [IFRS 13.27]

Highest and best use:

- **takes into account the use of the asset that is physically possible, legally permissible and financially feasible**; [IFRS 13.28]
- **is determined from the perspective of market participants, even if the entity intends a different use**. However, an entity's current use of a non-financial asset **is presumed to be its highest and best use** unless market or other factors suggest that a different use by market participants would maximise the value of the asset; [IFRS 13.29]
- to protect its competitive position, or for other reasons, an entity may intend not to use an acquired non-financial asset actively or it may intend not to use the asset according to its highest and best use. For example, that might be the case for an acquired intangible asset that the entity plans to use defensively by preventing others from using it. Nevertheless, the entity shall measure the fair value of a non-financial asset assuming its highest and best use by market participants. [IFRS 13.30]

IFRS 13 – *Application to non-financial assets* *par. 27-33*

The highest and best use of a non-financial asset establishes the valuation premise used to measure the *fair value* of the asset, as follows: [IFRS 13.31]

a) The highest and best use of a non-financial asset might provide maximum value to market participants through its use in **combination with other assets as a group** (as installed or otherwise configured for use) **or in combination with other assets and liabilities** (e.g., a business).

- If the highest and best use of the asset is to use the asset *in combination with other assets or with other assets and liabilities*, the *fair value* of the asset is the price that would be received in a current transaction to sell the asset assuming that the asset would be used with other assets or with other assets and liabilities and that those assets and liabilities (i.e. its complementary assets and the associated liabilities) would be available to market participants.
- **Liabilities associated with the asset and with the complementary assets include liabilities that fund working capital**, but do not include liabilities used to fund assets other than those within the group of assets.
- Assumptions about the highest and best use of a non-financial asset **shall be consistent for all the assets** (for which highest and best use is relevant) of the group of assets or the group of assets and liabilities within which the asset would be used.

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IFRS 13 – *Application to non-financial assets* *par. 27-33*

b) The highest and best use of a non-financial asset might provide maximum value to market participants on a **stand-alone basis**. If the highest and best use of the asset is to use it on a stand-alone basis, the *fair value* of the asset is the price that would be received in a current transaction to sell the asset to market participants that would use the asset on a stand-alone basis.

The *fair value* measurement of a non-financial asset assumes that the asset **is sold consistently with the unit of account specified in other IFRSs** (which may be an individual asset). That is the case even when that *fair value* measurement assumes that the highest and best use of the asset is to use it in combination with other assets or with other assets and liabilities because a *fair value* measurement **assumes that the market participant already holds the complementary assets and the associated liabilities**. [IFRS 13.32]

IFRS 13 – *Application to non-financial assets* *par. 27-33*

In some cases, the entity uses an asset in combination with other assets in a way that differs from the '*highest and best use*' of the asset.

Example: an entity can operate a plant on a land even if the *highest and best use* of the land would involve the demolition of the plant and the construction of a residential building.

In such cases, the *fair value* of the asset group consists of the following components:

a) The **value of assets assuming the current use of assets**. This value differs from *fair value* when the current use of the asset deviates from *its highest and best use*. However, this value reflects all other factors that market participants would consider in determining the assets price;

b) the amount by which the *fair value* of assets differs from *their value* in current use (*i.e. the incremental value of the asset group*).

IFRS 13 – *Application to non-financial assets* *par. 27-33*

An entity should recognise the incremental value in point b) in conjunction with the asset to which it relates.

For example, incremental value refers to the entity's ability to convert land from its current use as industrial property to its *highest and best use* as residential property.

Accordingly, the *fair value* of the land includes its value assuming current use plus the incremental value in point b). The amount allocated to the plant reflects its current use as shown in point a).

IFRS 13 – *Application to liabilities and an entity's own equity instruments*

Par. 34-36

A *fair value* measurement assumes that a financial or non-financial **liability** or an entity's **own equity instrument** (e.g., equity interests issued as consideration in a business combination) **is transferred to a market participant at the measurement date**. The transfer of a liability or an entity's own equity instrument assumes the following: [IFRS 13.34]

a) A liability would remain **outstanding** and the market participant transferee would be required to fulfil the obligation. The liability would not be settled with the counterparty or otherwise extinguished on the measurement date.

b) An entity's own equity instrument would remain **outstanding** and the market participant transferee would take on the rights and responsibilities associated with the instrument. The instrument would not be cancelled or otherwise extinguished on the measurement date.

IFRS 13 – *Application to liabilities and an entity's own equity instruments*

Par. 34-36

Even when **there is no observable market** to provide pricing information about the transfer of a liability or an entity's own equity instrument (*e.g. because contractual or other legal restrictions prevent the transfer of such items*), there might be an observable market for such items **if they are held by other parties as assets** (*e.g. a corporate bond or a call option on an entity's shares*).

[IFRS 13.35]

In all cases, an entity **shall maximise the use of relevant observable inputs and minimise the use of unobservable inputs to meet the objective of a *fair value* measurement**, which is to estimate the price at which an orderly transaction to transfer the liability or equity instrument would take place between market participants at the measurement date under current market conditions.

[IFRS 13.36]

IFRS 13 – *Liabilities and equity instruments held by other parties as assets*

Par. 37-39

When a quoted price for the transfer of an identical or a similar liability or entity's own equity instrument **is not available and the identical item is held by another party** as an asset, an entity shall measure the fair value of the liability or equity instrument **from the perspective of a market participant that holds the identical item as an asset at the measurement date**. [IFRS 13.37]

In such cases, an entity shall measure the fair value of the liability or equity instrument as follows: [IFRS 13.38]

a) using *the quoted price* in an *active market* for the identical item held by another party as an asset, if that price is available.

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IFRS 13 – *Liabilities and equity instruments held by other parties as assets*

Par. 37-39

b) if **that price is not available**, *using other observable inputs*, such as the quoted price in a market that is not active for the identical item held by another party as an asset.

c) if **the observable prices in (a) and (b) are not available**, *using another valuation technique*, such as:

- an ***income approach*** (e.g. a present value technique that takes into account the **future cash flows** that a market participant would expect to receive from holding the liability or equity instrument as an asset).

- a ***market approach*** (e.g. using quoted prices for similar liabilities or equity instruments held by other parties as assets).

IFRS 13 – *Liabilities and equity instruments held by other parties as assets*

Par. 37-39

An entity shall **adjust the quoted price** of a liability or an entity's own equity instrument held by another party as an asset **only if there are factors specific to the asset that are not applicable to the *fair value* measurement of the liability or equity instrument**. An entity shall ensure that the price of the asset does not reflect the effect of a restriction preventing the sale of that asset.

Some **factors that may indicate that the quoted price of the asset should be adjusted** include the following: [IFRS 13.39]

a) The quoted price for the asset relates *to a similar (but not identical) liability or equity instrument* held by another party as an asset. For example, the liability or equity instrument may have a particular characteristic (e.g. *the credit quality of the issuer*) that is different from that reflected in the fair value of the similar liability or equity instrument held as an asset.

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IFRS 13 – *Liabilities and equity instruments held by other parties as assets*

Par. 37-39

b) The unit of account for the asset is not the same as for the liability or equity instrument. For example, for liabilities, in some cases the price for an asset reflects a combined price for a package comprising both the amounts due from the issuer and a third-party **credit enhancement**. If the unit of account for the liability is not for the combined package, the objective is to measure the *fair value* of the issuer's liability, not the *fair value* of the combined package. Thus, in such cases, **the entity would adjust the observed price for the asset to exclude the effect of the third-party credit enhancement**.

IFRS 13 – *Liabilities and equity instruments NOT held by other parties as assets*

Par. 40-41

When a quoted price for the transfer of an identical or a similar liability or entity's own equity instrument **is not available and the identical item is <u>not held</u> by another party as an asset**, an entity shall measure the fair value of the liability or equity instrument *using a valuation technique from the perspective of a market participant that owes the liability or has issued the claim on equity*. [IFRS 13.40]

For example, when applying a present value technique an entity might take into account either of the following: [IFRS 13.41]

a) the **future cash outflows** that a market participant would expect to incur in fulfilling the obligation, including the compensation that a market participant would require for taking on the obligation.

b) the **amount that a market participant would receive to enter into or issue an identical liability or equity instrument**, using the assumptions that market participants would use when pricing the identical item (e.g. having the same credit characteristics) in the principal (or most advantageous) market for issuing a liability or an equity instrument with the same contractual terms.

IFRS 13 – *Non-performance risk*

par. 42-46

The *fair value* of a liability **reflects the effect of non-performance risk**.

Non-performance risk includes, *but may not be limited to*, **an entity's own credit risk**.

Non-performance risk is assumed **to be the same before and after the transfer of the liability**. [IFRS 13.42]

When measuring the *fair value* of a liability, an entity **shall take into account** the effect of its **credit risk** (credit standing) and any other factors that might influence the likelihood that the obligation will or will not be fulfilled. That effect may differ depending on the liability, for example: [IFRS 13.43]

a) whether the liability is an obligation to deliver cash (a financial liability) or an obligation to deliver goods or services (a non-financial liability).
b) the terms of credit enhancements related to the liability, if any.

IFRS 13 – *Non-performance risk*

par. 42-46

The *fair value* of a liability reflects the effect of non-performance risk on the basis of its unit of account.

The issuer of a liability issued with an inseparable third-party credit enhancement that is accounted for separately from the liability **shall not include the effect of the credit enhancement** (e.g. a third-party guarantee of debt) in the *fair value* measurement of the liability.

If the credit enhancement is accounted for separately from the liability, the issuer would take into account its own credit standing and not that of the third party guarantor when measuring the fair value of the liability.

[IFRS 13.44]

IFRS 13 – *Non-performance risk*

par. 42-46

When measuring the *fair value* of a liability or an entity's own equity instrument, an entity **shall not include a separate input or an adjustment to other inputs relating to the existence of a restriction that prevents the transfer of the item**. The effect of a *restriction* that prevents the transfer of a liability or an entity's own equity instrument is either implicitly or explicitly included in the other inputs to the fair value measurement. [IFRS 13.45]

For example, at the transaction date, both the creditor and the obligor accepted the transaction price for the liability with full knowledge that the obligation includes a restriction that prevents its transfer. As a result of the restriction being included in the transaction price, a separate input or an adjustment to an existing input is not required at the transaction date to reflect the effect of the restriction on transfer. Similarly, a separate input or an adjustment to an existing input is not required at subsequent measurement dates to reflect the effect of the restriction on transfer. [IFRS 13.46]

IFRS 13 – *Fair value at initial recognition*

par. B4

When determining whether *fair value* at initial recognition equals the transaction price, an entity shall take into account factors specific to the transaction and to the asset or liability. For example, **the transaction price might not represent the *fair value* of an asset or a liability at initial recognition** if any of the following conditions exist: [IFRS 13 – Appendix B – B4]

a) The transaction is between **related parties**, although the price in a related party transaction may be used as an input into a *fair value* measurement if the entity has evidence that the transaction was entered into at market terms.

b) The transaction takes place **under duress or the seller is forced to accept the price in the transaction**. For example, that might be the case if the seller is experiencing *financial difficulty*.

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IFRS 13 – *Fair value at initial recognition*

par. B4

c) The **unit of account** represented by the transaction price **is different** from the unit of account for the asset or liability measured at *fair value*. For example, that might be the case if the asset or liability measured at fair value is only one of the elements in the transaction (e.g. in a business combination), the transaction includes unstated rights and privileges that are measured separately in accordance with another IFRS, or the transaction price includes transaction costs.

d) The **market** in which the transaction takes place **is different from the principal market (or most advantageous market)**. For example, those markets might be different if the entity is a dealer that enters into transactions with customers in the retail market, but the principal (or most advantageous) market for the exit transaction is with other dealers in the dealer market.

IFRS 13 – *Fair value at initial recognition*

par. B4

If another IFRS requires or permits an entity
to measure an asset or a liability initially at fair value
and the transaction price differs from fair value,
the entity shall recognise the resulting gain or loss in profit or loss
unless that IFRS specifies otherwise.
[IFRS 13.60]

IFRS 13 – *Valuation techniques*

par. 61-66

An entity shall use **valuation techniques** that are appropriate in the circumstances and for which sufficient data are available to measure *fair value*, **maximising the use of relevant observable inputs and minimising the use of unobservable inputs**.

[IFRS 13.61]

The **objective** of using a valuation technique is **to estimate the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions**.

[IFRS 13.62]

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IFRS 13 – *Valuation techniques*

par. 61-66

Three widely used valuation techniques are: [IFRS 13.62]

- ✓ the ***market approach*** [**The market approach uses prices and other relevant information generated by market transactions involving identical or comparable (i.e. similar) assets, liabilities** or a group of assets and liabilities, such as a business – IFRS 13 Appendix B5],
- ✓ the ***cost approach*** [The cost approach reflects the amount that would be **required currently to replace the service capacity of an asset** (often referred to as **current replacement cost**) – IFRS 13 Appendix B8] and
- ✓ the ***income approach*** [**The income approach converts future amounts (e.g. cash flows or income and expenses) to a single current (i.e. discounted) amount**. When the income approach is used, the *fair value* measurement reflects current market expectations about those future amounts – IFRS 13 Appendix B10]. [Those valuation techniques include, for example, the following: *present value techniques*; *option pricing* models; and the *multi-period excess earnings method*, which is used to measure the *fair value* of some intangible assets – IFRS 13 Appendix B11]

An entity shall use valuation techniques consistent with one or more of those approaches to measure fair value. [IFRS 13.62]

IFRS 13 – *Inputs to valuation techniques* *par. 67-71*

Inputs represent the **assumptions that market participants would use when pricing the asset or liability**, including assumptions about risk, such as the following: [IFRS 13 – Appendix A]

a) the **risk inherent in a particular valuation technique used to measure *fair value*** (such as a pricing model); and

b) the **risk inherent in the inputs to the valuation technique**.

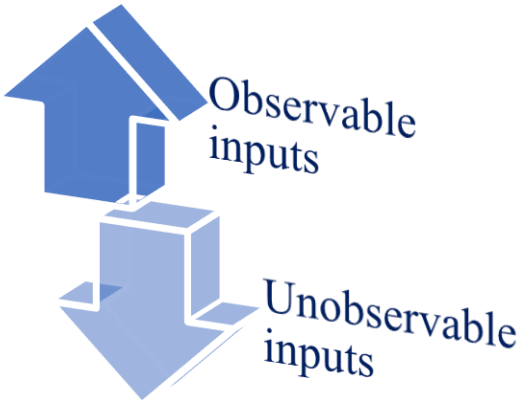
Inputs may be:

- ✓ **observable** (Inputs that are developed using **market data**, such as publicly available information about actual events or transactions, and that reflect the assumptions that market participants would use when pricing the asset or liability) or
- ✓ **unobservable** (Inputs for which market data are not available and that are developed using the best information available about the assumptions that market participants would use when pricing the asset or liability).

IFRS 13 – *Inputs to valuation techniques*

par. 67-71

Valuation techniques used to measure *fair value* **shall maximise the use of relevant observable inputs and minimise the use of unobservable inputs**. [IFRS 13.67]



Fair value hierarchy

IFRS 13 – *Fair value hierarchy*

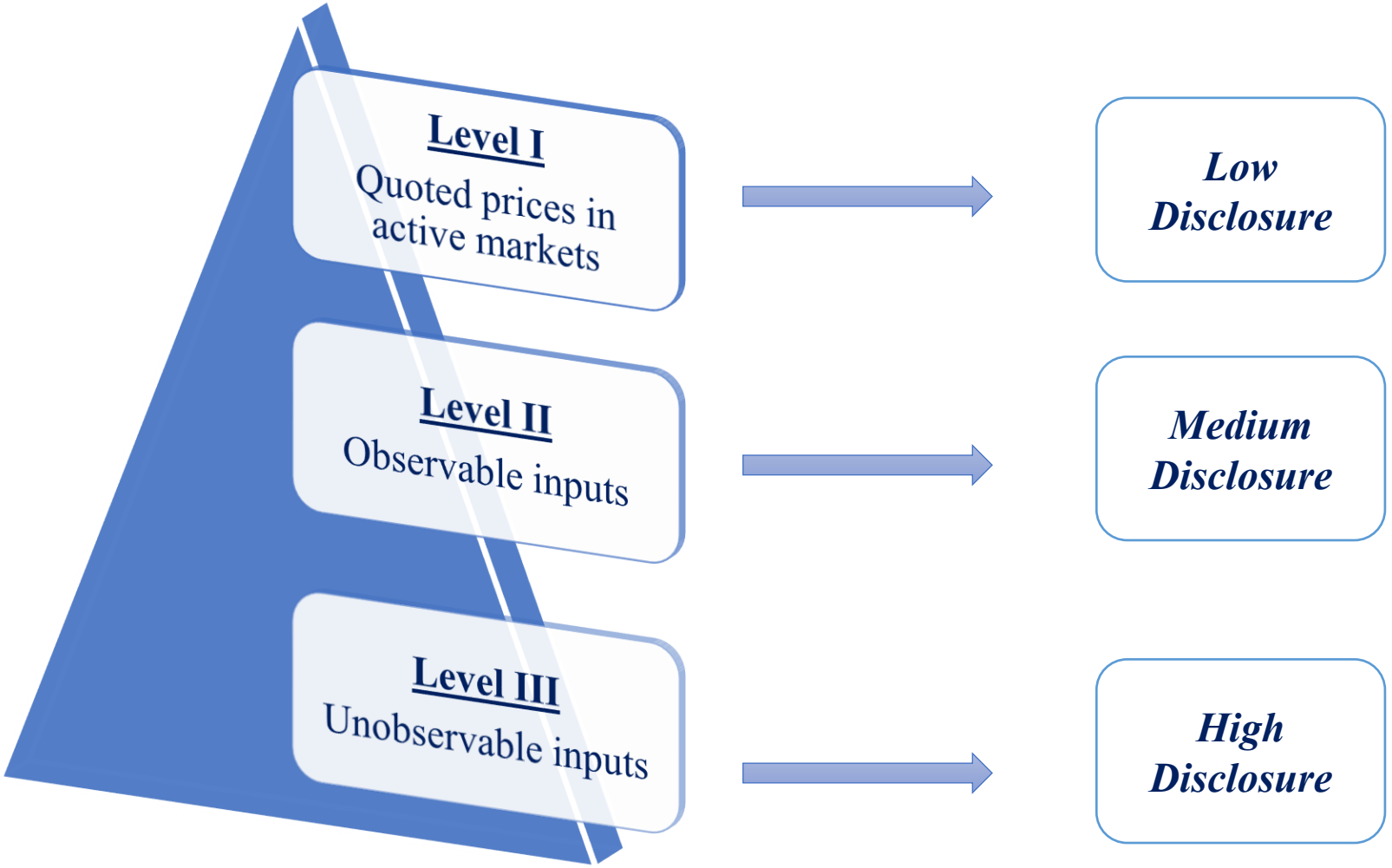
par. 72-90

To **increase consistency and comparability in *fair value* measurements and related *disclosures***, this IFRS establishes a *fair value hierarchy* that categorises into **three levels** the **inputs** to **valuation techniques** used to measure *fair value*.

The *fair value hierarchy* gives the **highest priority** to **quoted prices** (unadjusted) in **active markets** for identical assets or liabilities (***Level 1 inputs***) and the **lowest priority** to **unobservable inputs** (***Level 3 inputs***). [IFRS 13.72]

IFRS 13 – *Fair value hierarchy*

par. 72-90



IFRS 13 – *Fair value hierarchy*

par. 72-90

Level 1

Level 1 inputs are **quoted prices (unadjusted) in active markets** for **identical** assets or liabilities that the entity can access at the measurement date. [IFRS 13.76]

A quoted price in an active market provides the most reliable evidence of *fair value* and shall be used without adjustment to measure *fair value* whenever available. [IFRS 13.77]

A Level 1 input will be available for many financial assets and financial liabilities, some of which might be exchanged in multiple active markets *(e.g. on different exchanges)*. [IFRS 13.78]

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IFRS 13 – *Fair value hierarchy*

par. 72-90

Therefore, the emphasis within Level 1 is on determining both of the following: [IFRS 13.78]

a) the **principal market** for the asset or liability or, in the absence of a principal market, the most advantageous market for the asset or liability; and

b) whether the entity can enter into a transaction for the asset or liability at the price in that market at the measurement date.

Fair value
Level 1



Highest *fair value* "quality"
Observable inputs
Quoted prices in active markets

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IFRS 13 – *Fair value hierarchy*

par. 72-90

An entity shall <u>not</u> make an adjustment to a Level 1 input except in the following circumstances: [IFRS 13.79]

1) when an entity holds a large number of **similar** (***<u>but not identical</u>***) assets or liabilities *(e.g. debt securities)* that are measured at *fair value* and a quoted price in an active market is available but not readily accessible for each of those assets or liabilities individually *(i.e. given the large number of similar assets or liabilities held by the entity, it would be difficult to obtain pricing information for each individual asset or liability at the measurement date)*.

   In that case, as a practical expedient, an entity may measure *fair value* using an alternative pricing method that does not rely exclusively on quoted prices *(e.g. matrix pricing)*. **However, the use of an alternative pricing method results in a *fair value* measurement categorised within a lower level of the *fair value* hierarchy**.

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IFRS 13 – *Fair value hierarchy*

par. 72-90

2) when a quoted price in an active market does not represent *fair value* at the measurement date. That might be the case if, for example, **significant events** *(such as transactions in a principal-to-principal market, trades in a brokered market or announcements)* **take place after the close of a market but before the measurement date**. An entity shall establish and consistently apply a policy for identifying those events that might affect *fair value* measurements. **However, if the quoted price is adjusted for new information, the adjustment results in a *fair value* measurement categorised within a lower level of the *fair value* hierarchy**.

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IFRS 13 – *Fair value hierarchy*

par. 72-90

3) when measuring the *fair value* of a liability or an entity's own equity instrument using the quoted price for the identical item traded as an asset in an active market **and that price needs to be adjusted for factors specific to the item or the asset** (see paragraph 39).

   If no adjustment to the quoted price of the asset is required, the result is a *fair value* measurement categorised within Level 1 of the *fair value* hierarchy. However, **any adjustment to the quoted price of the asset results in a *fair value* measurement categorised within a lower level of the *fair value* hierarchy**.

Fair value measurement categorised within a lower level of 1



Whenever there is a need to adjust the quoted price

IFRS 13 – *Fair value hierarchy*

par. 72-90

If an entity holds a position in a single asset or liability *(including a position comprising a large number of identical assets or liabilities, such as a holding of financial instruments)* and the asset or liability is traded in an active market, the *fair value* of the asset or liability shall be measured within Level 1 as the **product of the quoted price** for the individual asset or liability and the **quantity** held by the entity.

That is the case even if a market's normal daily trading volume is not sufficient to absorb the quantity held and placing orders to sell the position in a single transaction might affect the quoted price. [IFRS 13.80]

IFRS 13 – *Fair value hierarchy*

par. 72-90

Level 2

Level 2 inputs are inputs **other than** quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. [IFRS 13.81]

If the asset or liability has a specified *(contractual)* term, a Level 2 input must be observable for substantially the full term of the asset or liability.

Level 2 inputs include the following: [IFRS 13.82]

a) quoted prices for **similar** assets or liabilities **in active markets**;

b) quoted prices for **identical or similar assets or liabilities in markets that are not active**;

c) inputs **other than** quoted prices that are observable for the asset or liability, for example:
   - interest rates and yield curves observable at commonly quoted intervals;
   - implied volatilities; and
   - credit *spreads*

d) market-corroborated inputs.

IFRS 13 – *Fair value hierarchy*

par. 72-90

Adjustments to **Level 2 inputs** will vary depending on factors specific to the asset or liability. Those factors include the following: [IFRS 13.83]

- the **condition** or **location** of the asset;
- the extent to which inputs relate to **items that are comparable** to the asset or liability *(including those factors described in paragraph 39)*; and
- the **volume** or **level of activity in the markets** within which the inputs are observed.

An adjustment to a Level 2 input that is significant to the entire measurement might result in a *fair value* measurement categorised within Level 3 of the *fair value* hierarchy if the adjustment uses significant unobservable inputs. [IFRS 13.84]

IFRS 13 – *Fair value hierarchy*

par. 72-90

Level 3

Level 3 inputs are **unobservable inputs** for the asset or liability. [IFRS 13.86]

Unobservable inputs shall be used to measure *fair value* **to the extent that relevant observable inputs are not available**, thereby allowing for situations in which there is little, if any, market activity for the asset or liability at the measurement date.

However, the *fair value* measurement objective remains the same, **i.e. an exit price at the measurement date** from the perspective of a market participant that holds the asset or owes the liability. Therefore, **unobservable inputs shall reflect the assumptions that market participants would use when pricing the asset or liability**, including **assumptions about risk**. [IFRS 13.87]

IFRS 13 – *Fair value hierarchy*

par. 72-90

Assumptions about risk include the risk inherent in a particular valuation technique used to measure *fair value (such as a pricing model)* and the risk inherent in the inputs to the valuation technique.

A measurement that does not include an adjustment for risk would not represent a *fair value* measurement if market participants would include one when pricing the asset or liability.

For example, it might be necessary to include a risk adjustment when there is significant measurement uncertainty *(e.g. when there has been a significant decrease in the volume or level of activity when compared with normal market activity for the asset or liability, or similar assets or liabilities, and the entity has determined that the transaction price or quoted price does not represent fair value)*. [IFRS 13.88]

IFRS 13 – *Fair value hierarchy*

par. 72-90

An entity shall develop unobservable inputs using the best information available in the circumstances, **which might include the entity's own data**. In developing unobservable inputs, an entity may begin with its own data, **but it shall adjust those data if reasonably available information indicates that other market participants would use different data or there is something particular to the entity that is not available to other market participants** *(e.g. an entity-specific synergy)*.

An entity need not undertake exhaustive efforts to obtain information about market participant assumptions. However, an entity shall take into account all information about market participant assumptions that is reasonably available. Unobservable inputs developed in the manner described above are considered market participant assumptions and meet the objective of a *fair value* measurement. [IFRS 13.89]

IFRS 13 – *Feedback summary – Proposed amendments*

3 Feedback summary—Proposed amendments to IFRS 13 *Fair Value Measurements*

Background

Users said fair value measurement disclosures made by entities applying IFRS 13 generally contain information that meets their needs. However, users said these disclosures often contain detailed information about immaterial fair value measurements, or limited information about material fair value measurements. For example, entities often provide unnecessarily detailed information about measurements categorised as Level 3 in the fair value hierarchy, but insufficient information about material Level 2 fair value measurements that are closer in terms of measurement uncertainty to Level 3. These disclosures are also costly for entities to provide.

The IASB proposed replacing the disclosure requirements in IFRS 13 with a new set of requirements developed in accordance with the proposed Guidance. These proposals included:

- creating overall and specific disclosure objectives that describe user information needs and require entities to exercise judgement about what to disclose to meet those needs;
- requiring an entity to consider the detail necessary to satisfy the disclosure objectives and to ensure that relevant information is not obscured by irrelevant detail;
- avoiding reference to particular levels of the fair value hierarchy, thereby removing any perception that detailed disclosures are required about particular fair value measurements irrespective of materiality; and
- items of information that users say are useful.

The IASB discussed the feedback on these proposals at its February 2022 and May 2022 meetings.

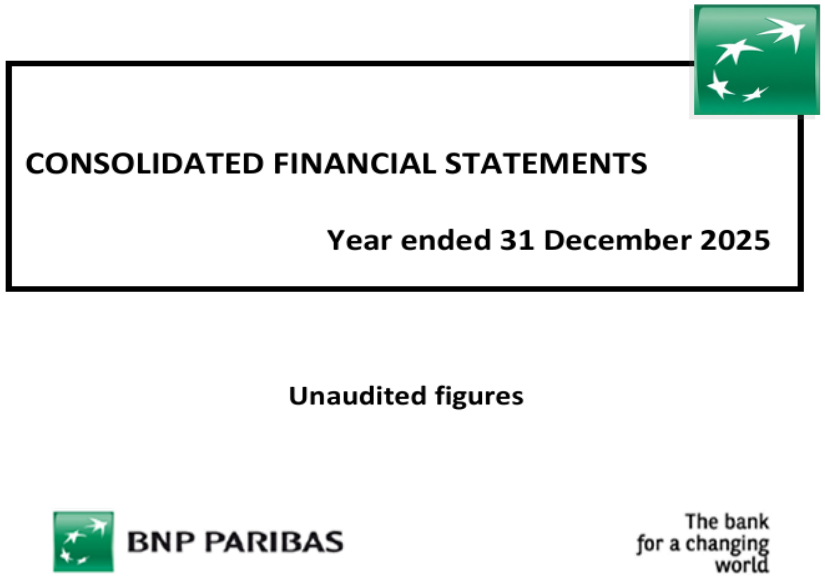
Summary of feedback and IASB's response

The IASB decided against proceeding with any further work on the disclosure requirements in IFRS 13 because:

- IFRS 13 was selected primarily to test the proposed Guidance and to help the IASB decide if the Guidance should be used for developing and drafting disclosure requirements in future standard-setting activities;
- the Post-implementation Review of IFRS 13 found that disclosures relating to fair value measurements are useful to users;
- if an entity were to conclude that information about its Level 2 measurements that are closer in terms of measurement uncertainty to Level 3 was material to users of its financial statements, then applying the requirements in paragraph 31 of IAS 1 would result in the entity disclosing that information; and
- any work on the disclosure requirements in IFRS 13 was not identified as a priority in the Third Agenda Consultation.

IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

The correct *fair value* determination is very important especially for those entities that operate in the financial market, such as banks.



IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

Summary of significant accounting policies applied by the group

1.e.10 DETERMINATION OF FAIR VALUE

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants in the principal market or most advantageous market, at the measurement date.

The Group determines the fair value of financial instruments either by using prices obtained directly from external data or by using valuation techniques. These valuation techniques are primarily market and income approaches encompassing generally accepted models (e.g. discounted cash flows, Black-Scholes model, and interpolation techniques). They maximise the use of observable inputs and minimise the use of unobservable inputs. They are calibrated to reflect current market conditions and valuation adjustments are applied as appropriate, when some factors such as model, liquidity and credit risks are not captured by the models or their underlying inputs but are nevertheless considered by market participants when setting the exit price.

The unit of measurement is the individual financial asset or financial liability but a portfolio-based measurement can be elected, subject to certain conditions. Accordingly, the Group retains this portfolio-based measurement exception to determine the fair value when some group of financial assets and financial liabilities and other contracts within the scope of the standard relating to financial instruments with substantially similar and offsetting market risks or credit risks are managed on the basis of a net exposure, in accordance with the documented risk management strategy.

Cont'd

IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

Summary of significant accounting policies applied by the group

Assets and liabilities measured or disclosed at fair value are categorised into the three following levels of the fair value hierarchy:

- Level 1: fair values are determined using directly quoted prices in active markets for identical assets and liabilities. Characteristics of an active market include the existence of a sufficient frequency and volume of activity and of readily available prices;

- Level 2: fair values are determined based on valuation techniques for which significant inputs are observable market data, either directly or indirectly. These techniques are regularly calibrated and the inputs are corroborated with information from active markets;

- Level 3: fair values are determined using valuation techniques for which significant inputs are unobservable or cannot be corroborated by market-based observations, due for instance to illiquidity of the instrument and significant model risk. An unobservable input is a parameter for which there are no market data available and that is therefore derived from proprietary assumptions about what other market participants would consider when assessing fair value. The assessment of whether a product is illiquid or subject to significant model risks is a matter of judgment.

The level in the fair value hierarchy within which the asset or liability is categorised in its entirety is based upon the lowest level input that is significant to the entire fair value.

For financial instruments disclosed in Level 3 of the fair value hierarchy, and marginally some instruments disclosed in Level 2, a difference between the transaction price and the fair value may arise at initial recognition. This "Day One Profit" is deferred and released to the profit and loss account over the period during which the valuation parameters are expected to remain non-observable. When parameters that were originally non-observable become observable, or when the valuation can be substantiated in comparison with recent similar transactions in an active market, the unrecognised portion of the day one profit is released to the profit and loss account.

IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

Measurement of the *fair value* of financial instruments

INSTRUMENT CLASSES AND CLASSIFICATION WITHIN THE FAIR VALUE HIERARCHY FOR ASSETS AND LIABILITIES MEASURED AT FAIR VALUE

As explained in the summary of significant accounting policies (note 1.e.10), financial instruments measured at fair value are categorised into a fair value hierarchy consisting of three levels.

Cont'd

IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

Measurement of the *fair value* of financial instruments

In millions of euros, at	31 December 2025											
	Financial instruments held for trading				Instruments at fair value through profit or loss not held for trading				Financial assets at fair value through equity			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Securities	264,725	42,613	1,656	308,994	490	2,193	9,616	12,299	71,728	6,005	1,627	79,360
Governments	87,517	18,234	100	105,851				-	40,076	3,097	465	43,638
Other debt securities	20,592	23,337	1,207	45,136	46	317	396	759	30,824	2,908	570	34,302
Equities and other equity securities	156,616	1,042	349	158,007	444	1,876	9,220	11,540	828		592	1,420
Loans and repurchase agreements	191	250,715	1,073	251,979	-	1,792	539	2,331	-	-	-	-
Loans	191	10,720	1,073	11,984		1,792	539	2,331				
Repurchase agreements		239,995		239,995				-				
FINANCIAL ASSETS AT FAIR VALUE	264,916	293,328	2,729	560,973	490	3,985	10,155	14,630	71,728	6,005	1,627	79,360
Securities	95,813	2,214	460	98,487	-	-	-	-				
Governments	54,791	440	21	55,252				-				
Other debt securities	9,624	1,490	227	11,341				-				
Equities and other equity securities	31,398	284	212	31,894				-				
Borrowings and repurchase agreements	-	353,810	862	354,672	-	3,110	165	3,275				
Borrowings		7,589		7,589		3,110	165	3,275				
Repurchase agreements		346,221	862	347,083				-				
Issued debt securities and subordinated debt *(note 4.h)*	-	-	-	-	802	83,197	45,280	129,279				
Issued debt securities				-		83,178	45,280	128,458				
Subordinated debt				-	802	19		821				
FINANCIAL LIABILITIES AT FAIR VALUE	95,813	356,024	1,322	453,159	802	86,307	45,445	132,554				

Cont'd

IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

Measurement of the *fair value* of financial instruments

In millions of euros, at	31 December 2024											
	Financial instruments held for trading				Instruments at fair value through profit or loss not held for trading				Financial assets at fair value through equity			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Securities	**215,211**	**40,417**	**1,151**	**256,779**	**640**	**1,397**	**8,541**	**10,578**	**62,844**	**9,427**	**769**	**73,040**
Governments	76,246	18,301	171	94,718				-	32,137	3,919	72	36,128
Other debt securities	18,922	21,937	781	41,640	24	411	378	813	29,740	5,295	267	35,302
Equities and other equity securities	120,043	179	199	120,421	616	986	8,163	9,765	967	213	430	1,610
Loans and repurchase agreements	**-**	**221,607**	**15**	**221,622**	**-**	**2,874**	**1,203**	**4,077**	**-**	**-**	**-**	**-**
Loans		9,324		9,324		2,874	1,203	4,077				
Repurchase agreements		212,283	15	212,298				-				
FINANCIAL ASSETS AT FAIR VALUE	**215,211**	**262,024**	**1,166**	**478,401**	**640**	**4,271**	**9,744**	**14,655**	**62,844**	**9,427**	**769**	**73,040**
Securities	**77,891**	**1,971**	**96**	**79,958**	**-**	**-**	**-**	**-**				
Governments	54,020	373		54,393								
Other debt securities	8,648	1,576	96	10,320								
Equities and other equity securities	15,223	22		15,245								
Borrowings and repurchase agreements	**-**	**301,036**	**1,452**	**302,488**	**-**	**2,126**	**203**	**2,329**				
Borrowings		6,113		6,113		2,126	203	2,329				
Repurchase agreements		294,923	1,452	296,375								
Issued debt securities and subordinated debt *(note 4.h)*	**-**	**-**	**-**	**-**	**-**	**66,580**	**38,354**	**104,934**				
Issued debt securities						65,764	38,354	104,118				
Subordinated debt						816		816				
FINANCIAL LIABILITIES AT FAIR VALUE	**77,891**	**303,007**	**1,548**	**382,446**	**-**	**68,706**	**38,557**	**107,263**				

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IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

Measurement of the *fair value* of financial instruments

Fair values of derivatives are broken down by dominant risk factor, namely interest rate, foreign exchange, credit and equity. Derivatives used for hedging purposes are mainly interest rate derivatives.

In millions of euros, at	31 December 2025							
	Positive market value				Negative market value			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Interest rate derivatives	437	122,248	1,492	124,177	584	92,435	797	93,816
Foreign exchange derivatives	180	98,238	331	98,749	81	92,358	321	92,760
Credit derivatives		13,308	1,065	14,373		12,339	1,818	14,157
Equity derivatives		29,566	3,117	32,683	35	38,324	8,667	47,026
Other derivatives	1,335	3,253	55	4,643	937	4,006	24	4,967
Derivative financial instruments not used for hedging purposes	**1,952**	**266,613**	**6,060**	**274,625**	**1,637**	**239,462**	**11,627**	**252,726**
Derivative financial instruments used for hedging purposes	**-**	**20,017**	**-**	**20,017**	**-**	**28,493**	**-**	**28,493**

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IFRS 13 – *Example BNP Paribas Consolidated Financial Statements 2025*

Measurement of the *fair value* of financial instruments

In millions of euros, at	31 December 2024							
	Positive market value				Negative market value			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Interest rate derivatives	479	119,383	1,629	121,491	505	92,636	1,904	95,045
Foreign exchange derivatives	57	157,499	529	158,085	53	151,964	252	152,269
Credit derivatives		10,161	606	10,767		10,362	723	11,085
Equity derivatives	9	24,977	3,079	28,065	4	34,165	6,016	40,185
Other derivatives	693	3,400	130	4,223	851	2,466	52	3,369
Derivative financial instruments not used for hedging purposes	**1,238**	**315,420**	**5,973**	**322,631**	**1,413**	**291,593**	**8,947**	**301,953**
Derivative financial instruments used for hedging purposes	**-**	**20,851**	**-**	**20,851**	**-**	**36,864**	**-**	**36,864**

Transfers between levels may occur when an instrument fulfils the criteria defined, which are generally market and product dependent. The main factors influencing transfers are changes in the observation capabilities, passage of time, and events during the transaction lifetime. The timing of recognising transfers is determined at the beginning of the reporting period.

During the year 2025, transfers between Level 1 and Level 2 were not significant.

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